

DDCP Foundation, Inc.

A Wyoming Nonprofit Corporation

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COMMENT LETTER

Financial Crimes Enforcement Network

*Anti-Money Laundering and Countering the Financing of Terrorism
Programs*

Docket FINCEN-2026-0034 · RIN 1506-AB72

May 22, 2026

Comment Period Closes: June 9, 2026

I. Introduction

DDCP Foundation, Inc. ("DDCP Foundation") submits this comment as a Wyoming nonprofit corporation that fosters and stewards the development and maintenance of the open-source DDCP protocol infrastructure. DDUSD, LLC, a Wyoming limited liability company in formation, intends to file a Permitted Payment Stablecoin Issuer ("PPSI") license application with the Office of the Comptroller of the Currency under the Genius and Innovation for Networks of Information in the United States Act ("GENIUS Act"). The DDCP Reserve Management Foundation, a Swiss-domiciled nonprofit in formation, will serve as third-party reserve manager for DDUSD, LLC under GENIUS Act section 4(a)(7)(A)(iii).

DDCP Foundation filed a comment on OCC Docket OCC-2025-0372 (RIN 1557-AF41) on May 1, 2026 (Comment ID OCC-2025-0372-0257, the "OCC Comment") and a supplementary submission on May 20, 2026 (the "OCC Supplementary Comment"). DDCP Foundation is also a participant in the joint FinCEN/OFAC PPSI-specific AML/CFT and sanctions compliance NPRM proceeding (Docket FINCEN-2026-0100, RIN 1506-AB73, the "PPSI

NPRM"). All positions in this comment are consistent with and extend those filings. The OCC record is cross-referenced throughout by docket number.

The proposed rule published at 91 FR 18704 (April 10, 2026) reforms AML/CFT program requirements for covered financial institutions under the Bank Secrecy Act ("BSA"). This comment is limited in scope to two points that bear on DDCP Foundation's role as protocol infrastructure steward and on the Financial Intermediary-layer compliance model applicable to DDUSD, LLC's prospective PPSI operations.

First, DDCP Foundation is not a covered financial institution under 31 CFR 1010.100(t). The AML/CFT program obligations this rulemaking strengthens do not attach to DDCP Foundation. In the DDCP architecture, AML/CFT compliance obligations attach to DDUSD, LLC as the prospective PPSI -- where they flow through the PPSI-specific framework established in proposed 31 CFR Part 1033 under the PPSI NPRM -- and to Financial Intermediary layer entities (exchanges, custodial wallet providers, and other entities holding direct account relationships with end users) in their own covered financial institution capacities. DDCP Foundation, the DDCP protocol, and the DDCP validator network do not bear AML/CFT compliance obligations under this rulemaking or under the PPSI NPRM.

Second, FinCEN's explicit endorsement in this rulemaking of risk-based, outcome-focused AML/CFT programs and innovative monitoring technologies -- including blockchain analytics, artificial intelligence, and machine learning -- directly supports the Financial Intermediary-layer compliance model that DDCP Foundation has described in the OCC Comment, the OCC Supplementary Comment, and the PPSI NPRM proceeding. Meaningful enforcement outcomes are achievable through Financial Intermediary-layer compliance without imposing AML/CFT program obligations on open-source infrastructure stewards.

II. Entity Classification Under This Rulemaking

A. DDCP Foundation Is Not a Covered Financial Institution Under 31 CFR 1010.100(t)

The proposed rule amends AML/CFT program requirements under 31 CFR Parts 1020 through 1030, applicable to the eleven categories of covered financial institutions enumerated in 31 CFR 1010.100(t): banks; casinos and card clubs; money services businesses; brokers or dealers in securities; mutual funds; insurance companies; futures commission merchants and introducing brokers in commodities; dealers in precious metals, precious stones, or jewels; operators of credit card systems; loan or finance companies; and housing government sponsored enterprises.

DDCP Foundation is none of these. It is a Wyoming nonprofit corporation that fosters and stewards the development and maintenance of the DDCP protocol infrastructure under an open-source license. DDCP Foundation does not accept deposits, extend credit, process payment transactions on behalf of customers, deal in securities or commodities, operate a payment system, provide insurance, or conduct any of the regulated activities that subject the enumerated financial institution categories to BSA program requirements.

This characterization is consistent with positions taken in related proceedings. The Blockchain Association has argued in the OCC rulemaking record that compliance obligations should attach based on functional role: entities with control over user assets bear compliance responsibility; infrastructure stewards who publish open-source code and cannot direct, block, or move user assets do not. SPI, in a joint submission with the DeFi Education Fund in that proceeding, advanced a structurally identical argument: the defining regulatory principle is control, not proximity. Infrastructure providers that cannot unilaterally act on user assets should not bear covered financial institution obligations merely because regulated activity occurs through them.

In the DDCP architecture, the AML/CFT compliance obligations this rulemaking strengthens attach at the Financial Intermediary layer -- the licensed exchanges, on-ramp providers, and custodial wallet services that are already covered financial institutions under 31 CFR 1010.100(t) in their

existing capacities and that will operate compliant AML/CFT programs under the final rule. DDCP Foundation submits this comment to reinforce that the Financial Intermediary layer is the correct and complete locus of BSA program obligations in this architecture and that no obligation under the proposed rule attaches to DDCP Foundation as open-source protocol infrastructure steward.

DDCP Foundation respectfully requests that FinCEN confirm in the final rule or accompanying commentary that open-source protocol infrastructure stewards -- entities that publish open-source code under an open-source license, do not maintain customer accounts or account balances, and do not conduct any of the regulated activities enumerated in 31 CFR 1010.100(t) -- fall outside the scope of the proposed rule's AML/CFT program requirements, consistent with the existing covered financial institution framework.

B. DDUSD, LLC and the PPSI-Specific AML/CFT Framework

DDUSD, LLC, as a prospective payment stablecoin issuer, will bear AML/CFT compliance obligations. Those obligations flow through the PPSI-specific framework established in proposed 31 CFR Part 1033 under the PPSI NPRM, which is the more specific and directly applicable BSA framework for PPSIs. DDCP Foundation's substantive positions on DDUSD, LLC's AML/CFT program design, compliance capability, and program component obligations -- including those relevant to the general BSA program requirements addressed in this rulemaking -- are set out in DDCP Foundation's comment on the PPSI NPRM (Docket FINCEN-2026-0100) and are cross-referenced by docket number. This comment does not repeat those positions.

III. FinCEN's Endorsement of Risk-Based Compliance and Innovative Technologies Supports the Financial Intermediary-Layer Compliance Model

Section V.B of the proposed rule states that FinCEN "encourages financial institutions to evaluate whether new technology or innovative approaches might help to more effectively combat financial crime" and identifies "blockchain monitoring and analytics" alongside machine learning, generative AI, digital identity tools, and application programming interfaces as technologies FinCEN actively supports. The preamble further states that institutions responsibly experimenting with innovative technologies "will not incur any additional risk of being subject to a significant supervisory AML/CFT action or AML/CFT enforcement action solely based on the use of innovative technologies." Section IV.A.ii affirms that the proposed rule's risk-based framework is intended to provide financial institutions with flexibility to serve customers based on their specific ML/TF risk profile rather than through broad categorical de-risking.

These provisions directly support the Financial Intermediary-layer compliance model applicable to DDUSD, LLC's prospective PPSI operations. Financial Intermediary layer entities (exchanges, custodial wallet providers, and other entities holding direct account relationships with end users) operating at the DDCP protocol edge maintain direct account relationships with DDUSD token users. These entities conduct full KYC/KYB verification at onboarding, operate ongoing customer due diligence programs, and maintain transaction monitoring using commercial blockchain analytics tools that provide real-time transaction graph analysis, SDN screening against on-chain wallet addresses, address clustering to known entities, and risk-scoring of counterparty wallet interactions. Their compliance programs are calibrated to the specific ML/TF risk profile of their customer base -- the risk-based, institution-specific model the proposed rule promotes.

The compliance-effectiveness case for blockchain analytics in this context is direct. Commercial blockchain analytics platforms deployed by licensed exchanges and custodians provide a degree of on-chain transaction transparency that is not available in traditional payment systems, where counterparty identity is obscured by correspondent banking relationships and intermediary processing. Applied at the Financial Intermediary layer, these tools enable covered financial institutions to identify and escalate

suspicious activity involving payment stablecoin transactions with visibility into the full on-chain transaction history of the relevant wallet addresses -- a compliance capability that reinforces existing AML/CFT program components.

The principle that AML/CFT monitoring obligations should attach to entities possessing the operational capability to perform them is reflected in comments submitted by other industry participants in related proceedings. Solidus Labs, in comments submitted to a parallel docket, argued that AML/CFT obligations in secondary markets should attach to entities with the monitoring capability and account-relationship infrastructure required to identify and report suspicious activity. Financial Intermediary layer entities possess this capability. They hold KYC/KYB records, transaction history, and the compliance infrastructure required to perform meaningful AML/CFT compliance at the protocol edge.

FinCEN's own enforcement record reinforces this conclusion. The illicit finance cases cited in the proposed rule's preamble were resolved through judicial process, OFAC designation, blockchain analytics, and Financial Intermediary-layer cooperation -- the outcomes FinCEN presents as evidence of an effective AML/CFT regime are produced precisely by Financial Intermediary-layer compliance. DDCP Foundation respectfully submits that FinCEN's risk-based, outcome-focused framework is satisfied by Financial Intermediary-layer compliance programs applying rigorous, technology-enabled controls at the interface between the DDCP protocol and the regulated financial system.

DDCP Foundation respectfully requests that FinCEN confirm that Financial Intermediary-layer compliance programs applying risk-based monitoring -- including blockchain analytics and other innovative tools identified in Section V.B of the proposed rule -- at the interface between the DDCP protocol and the regulated financial system satisfy the proposed rule's requirements for covered financial institutions operating in that capacity.

IV. Responses to Specific Requests for Comment

FinCEN poses twenty-nine requests for comment in Section VII of the proposed rule. DDCP Foundation addresses two questions substantively below on the Financial Intermediary-layer compliance model. On the remaining twenty-seven questions, DDCP Foundation takes no position as a non-covered financial institution. To the extent those questions bear on DDUSD, LLC's AML/CFT program design as a prospective PPSI -- including questions on risk assessment processes, AML/CFT officer requirements, independent testing, and what constitutes an effective program -- DDUSD, LLC's positions are addressed in the PPSI NPRM comment (Docket FINCEN-2026-0100) and are cross-referenced by docket number.

Question 2 -- Risk-Based Resource Allocation

The proposed rule reflects FinCEN's determination that financial institutions are best placed to identify ML/TF risks and allocate compliance resources accordingly. DDCP Foundation endorses this determination. It applies with particular force at Financial Intermediary layer entities (exchanges, custodial wallet providers, and other entities holding direct account relationships with end users) operating at the DDCP protocol edge, each of which serves a distinct customer population with a specific risk profile. A custodial exchange serving primarily institutional participants in deep-liquidity markets presents different ML/TF risk characteristics than a retail on-ramp serving individual consumers in higher-risk jurisdictions. Risk-based programs calibrated to these distinct profiles -- rather than uniform requirements applied identically across all institutions regardless of risk -- produce the resource efficiency and compliance effectiveness the proposed rule seeks. We respectfully request that the final rule preserve maximum flexibility for Financial Intermediary layer entities to design compliant programs reflecting their specific customer base and transaction profile.

Question 28 -- Innovative Monitoring Technologies

Blockchain analytics constitute an established and directly applicable category of monitoring technology for AML/CFT compliance programs operating with payment stablecoins. Commercial blockchain analytics platforms deployed by regulated exchanges and custodians provide real-time transaction graph analysis; OFAC SDN screening against on-chain

wallet addresses before and during account interaction; clustering of wallet addresses to known entities based on on-chain behavioral patterns; and risk-scoring of counterparty wallets based on prior transaction history and associations with sanctioned addresses or identified illicit activity clusters.

Integrated into Financial Intermediary-layer KYC and transaction monitoring workflows, these tools enable covered financial institutions to satisfy their ongoing customer due diligence, SAR filing, and OFAC screening obligations with a degree of counterparty visibility that is not available through traditional payment system monitoring. We respectfully urge FinCEN to affirm in the final rule that the use of blockchain analytics as a primary or supplementary AML/CFT monitoring mechanism satisfies the proposed rule's requirement for internal policies, procedures, and controls that are reasonably designed to identify and mitigate ML/TF risks, consistent with Section V.B of the proposed rule. Such an affirmation would provide regulatory certainty to Financial Intermediary layer entities that investment in blockchain analytics capabilities advances their compliance standing under the final rule.

Questions 1, 3 through 27, and 29

DDCP Foundation takes no position on these questions as a non-covered financial institution. These questions address the design, establishment, maintenance, independent testing, and supervision of AML/CFT programs within covered financial institution types and do not generate a position for an entity outside the covered financial institution framework. No silence on any question in this section should be construed as a position on the merits. To the extent these questions bear on DDUSD, LLC's program design obligations as a prospective PPSI, DDUSD, LLC's positions are set out in the PPSI NPRM comment (Docket FINCEN-2026-0100).

V. Conclusion and Confirmations Requested

DDCP Foundation submits this comment as steward of the DDCP open-source protocol infrastructure. All positions in this comment are consistent with the OCC Comment (OCC-2025-0372-0257, filed May 1, 2026), the OCC Supplementary Comment (OCC-2025-0372, filed May 20, 2026), and DDCP

Foundation's comment on the PPSI NPRM (Docket FINCEN-2026-0100, RIN 1506-AB73).

DDCP Foundation respectfully requests that FinCEN address the following confirmations in the final rule or accompanying preamble commentary:

- **Covered Financial Institution Scope.** Confirm that open-source protocol infrastructure stewards -- entities that publish open-source code under an open-source license, do not maintain customer accounts or account balances, and do not conduct any of the regulated activities enumerated in 31 CFR 1010.100(t) -- fall outside the scope of the proposed rule's AML/CFT program requirements, consistent with the existing covered financial institution framework.
- **Financial Intermediary-Layer Compliance Model.** Confirm that Financial Intermediary-layer compliance programs applying risk-based monitoring -- including blockchain analytics and other innovative technologies identified in Section V.B of the proposed rule -- at the interface between the DDCP protocol and the regulated financial system satisfy the proposed rule's requirements for covered financial institutions operating in that capacity. Confirm that the use of blockchain analytics as a primary or supplementary AML/CFT monitoring mechanism satisfies the requirement for internal policies, procedures, and controls that are reasonably designed to identify and mitigate ML/TF risks.

DDCP Foundation is available to provide additional information as FinCEN considers the proposed rule. DDUSD, LLC will engage OCC licensing staff through the pre-application process regarding its PPSI application and compliance architecture.

Respectfully submitted,

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